Simulation Arena

Deal Aging & Multi-Quarter Sales Cycles: The Pipeline Hopper

Sales says quarter 2; the odds from your assumptions are 5.3% for closing then - 55.7% of the value slips past that date, and 27.0% never closes at all. Plan on $518k of this $3.00M deal, not the full amount.

Seed 42 | Run run_efce24a70381 | 600 scenarios tested | Markov chain on your own stage-to-stage… | 21 Sep 2026, 20:10

Same seed, same numbers - this run can be reproduced exactly.

How this works

Every deal on your board hops from stage to stage. We counted how your own deals actually hopped - forward, staying put for a quarter, or dying - and turned those counts into odds. We also account for how long a deal has been sitting still: the older it gets, the more likely it is to slip or die, so a deal that has been parked for a year is priced differently from one that has just arrived. Then we rolled the odds forward one quarter at a time, which gives the chance of the deal being anywhere on the board in each future quarter. Money is then weighted by those odds: if there is a 1-in-8 chance of closing next quarter, only an eighth of the value deserves to be in next quarter's plan.

The numbers that matter

CHANCE IT CLOSES IN Q2, AS SALES PROMISED **5.3%** A slim chance the money actually lands in the quarter it was promised for. **vs sales assumed 100%**	CHANCE IT SLIPS PAST THAT QUARTER **55.7%** The chance the deal does close, but later than the date sales promised.	CHANCE IT DIES INSTEAD **27.0%** The deal never closes - it stalls or the customer walks. **vs 18.3% still stuck in Legal at the end of the horizon**
WHAT YOU CAN BANK ON BY Q2 **$518k** The deal value weighted by its real chance of arriving - 17.3% of $3.00M.	CASH COMMITTED AGAINST ODDS **$2.48M** You are planning to spend $2.48M that has only a 17.3% chance of arriving. **vs $3.00M promised vs $518k realistic**	QUARTERS UNTIL IT REALLY CLOSES **7.0** On average, counted from today, for the deals that do close (6.6 quarters to a final yes or no). **vs sales promised 2**
HOW LONG THIS DEAL HAS BEEN SITTING **0 quarters** The older a deal gets, the more likely it is to slip or die - we have priced that in. **vs we treat it as stale after 4 quarters**		

How we got there

1. What we measured

You gave us no stage history, so the board below is built from your own assumptions about how deals move.

Evidence: assumption-driven board

2. The forecast versus the odds

Sales has this deal closing in Q2. The odds from your assumptions put it at 5.3% for landing in that quarter - and a 27.0% chance of never landing at all.

Evidence: 5.3% vs 100%

3. Where the time actually goes

Deals do not walk through the stages, they sit in them. Looking across the whole horizon, 55.7% of the deals that close do so later than Q2, and 48.7% close after this fiscal year has ended. Even at the end of Q6, 18.3% are still sitting in Legal.

Evidence: 18.3% stuck in Legal

4. Why the age of the deal matters

We judged this deal at the same odds as every other deal, whatever its age: 5.3% for Q2. Turn on 'allow for how long a deal has been sitting' to price a deal that has been parked for a while as the bigger risk it usually is.

Evidence: 5.3% regardless of age

5. The number to plan with

Weighted by the odds, this deal is worth $518k to Q2's plan, not $3.00M. The difference, $2.48M, is money you would be committing before it has any real chance of arriving.

Evidence: $2.48M of over-commitment

6. What to do about it

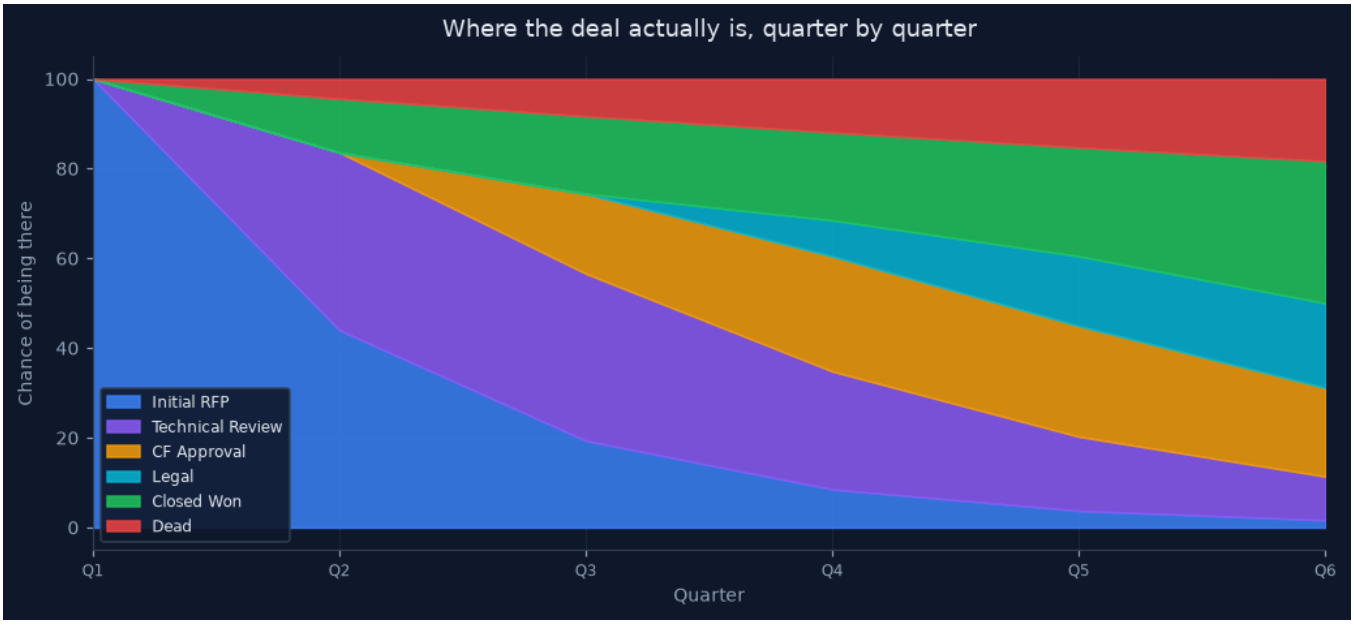
Plan the cash against $518k, hold the rest as a contingency, and put the deals that have been sitting the longest in front of whoever owns the stage they are stuck in. A forecast that says 'Q2' with no odds attached is not a forecast - it is a hope.

Evidence: plan on 17.3% of the value

Charts

Where the deal actually is, quarter by quarter

Starting from 'Initial RFP'. Green is won, red is dead.



What this shows: Read the green band: that is the chance the deal is already closed by each quarter. The grey blocks are the stages it is still sitting in.

When it actually closes vs when sales said

Chance of closing in each quarter; sales promised Q2



What this shows: The tall bar is the quarter the deal is most likely to close in. It is almost never the quarter on the forecast.

Money you can actually plan on

Cumulative deal value weighted by its chance of arriving



What this shows: The gap between the green line and the red line is cash you would be committing before it has arrived.

Tables

Quarter by quarter: where the deal is

The chance of the deal sitting in each stage at the end of every quarter.

Quarter	Initial RFP	Technical Review	CF Approval	Legal	Closed Won	Dead
Q1	44.0%	39.6%	0.0%	0.0%	12.0%	4.4%
Q2	19.4%	37.2%	17.8%	0.0%	17.3%	8.3%
Q3	8.5%	26.3%	25.7%	8.0%	19.6%	11.9%
Q4	3.7%	16.5%	24.7%	15.6%	24.2%	15.3%
Q5	1.6%	9.7%	19.8%	18.9%	31.7%	18.3%
Q6	0.73%	5.5%	14.3%	18.3%	40.4%	20.8%

Read the 'Closed Won' column to see how the chance of closing builds up.

The money, weighted by the odds

What this deal is really worth to each quarter's plan.

Quarter	Chance of closing then	Value earned that quarter	Value banked by then	Chance closed by then	Chance dead by then	Still not banked
Q1	12.0%	$360k	$360k	12.0%	4.4%	$2.64M
Q2	5.3%	$158k	$518k	17.3%	8.3%	$2.48M
Q3	2.3%	$70k	$588k	19.6%	11.9%	$2.41M
Q4	4.6%	$139k	$727k	24.2%	15.3%	$2.27M
Q5	7.5%	$224k	$951k	31.7%	18.3%	$2.05M
Q6	8.7%	$261k	$1.21M	40.4%	20.8%	$1.79M

Row 2 is the quarter sales promised.

What sitting still costs you

The same deal judged at three ages, plus the age we actually used for it.

How long it has been sitting	Chance it closes by Q2	Chance it never closes
Fresh (under 2 quarters)	17.3%	27.0%
Settled (2-4 quarters)	15.1%	36.7%
Stale (over 4 quarters)	10.6%	60.0%
This deal (0 quarters)	17.3%	27.0%

The older a deal is, the lower it sits. The highlighted row is the age we used for the forecast above.

What we recommend

Do not book $3.00M for Q2. Book $518k and hold the rest back.

Risk High 91 out of 100 | Confidence: Low

Why

• The chance of closing in Q2 is 5.3%, not 100%.

• 55.7% of the value arrives later than promised. and 27.0% never arrives at all.

• Planning on the full $3.00M commits $2.48M of cash against a 17.3% chance.

• Deal value $3.00M is carried at full weight by the forecast.

What to do

1. Put $518k in the Q2 plan and treat the remaining $2.48M as contingent on the deal actually reaching the next stage.

2. Attach a stage gate to any hiring, inventory or spend that depends on this deal.

3. Re-forecast the whole open pipeline the same way, not just this deal - the same optimism is almost certainly in the rest of the board.

4. Put the deals sitting in Legal in front of the owner of that step: 18.3% are still there at the end of Q6.

The trade-off: Booking less now means a smaller number in this quarter's plan - but it avoids the mid-year freeze that follows a promise that does not arrive.

What we assumed and what to watch

Worth knowing before you act

• No usable deal-stage history was mapped, so these odds are your assumptions, not evidence. Upload a file with deal id, stage and quarter to make this real.

• 27.0% of deals at this stage never close at all - they are not 'slipping', they are gone. Treat that part of the pipeline as zero.

Assumptions

• No usable history: board assumed as Initial RFP -> Technical Review -> CF Approval -> Legal -> Closed Won -> Dead with 45.0% forward, 50.0% sitting still, 5.0% dying per step, and 12.0% fast-track wins.

• A deal that is won or dead stays that way - we force those stages to be final even if the history is messy.

• We priced how long deals sit still: past 4 quarters a deal gets progressively more likely to slip or die, up to a cap of 90.0% extra risk. The deal being forecast is treated as 0 quarters old.

• Deal value $3,000,000, starting in 'Initial RFP', 6 quarters ahead, fiscal year = 4 quarters.

• Each quarter a deal moves at most one stage forward; it may sit still or die. Deal size does not change the odds.

• Stage behaviour is assumed stable: the pattern in your history continues.

• No columns of your file were used - this run is entirely assumption-driven.

• Deal / opportunity ID -> not in your file; not used

• Pipeline stage -> not in your file; not used

• Stage order (1,2,3...) -> not in your file; not used

• Quarter of this sighting -> not in your file; not used

• Deal value -> not in your file; not used

• Quarter the deal entered -> not in your file; not used

• How long the deal has been sitting (quarters) -> not in your file; not used

• How long it has been sitting (days) -> not in your file; not used

Appendix: the last steps of the run

Every line was produced while the model ran. Re-running with the same seed replays it exactly.

Time	Stage	What happened
0.00s	prepare	No data was attached, so this run uses the numbers you typed in.
0.00s	prepare	We could not find a 'Deal / opportunity ID' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'Pipeline stage' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'Stage order (1,2,3...)' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'Quarter of this sighting' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'Deal value' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'Quarter the deal entered' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'How long the deal has been sitting (quarters)' column. We left it out and will work without it.
0.00s	prepare	We could not find a 'How long it has been sitting (days)' column. We left it out and will work without it.
0.00s	prepare	Deal / opportunity ID -> not in your file; not used
0.00s	prepare	Pipeline stage -> not in your file; not used
0.00s	prepare	Stage order (1,2,3...) -> not in your file; not used
0.00s	prepare	Quarter of this sighting -> not in your file; not used
0.00s	prepare	Deal value -> not in your file; not used

Time	Stage	What happened
0.00s	prepare	Quarter the deal entered -> not in your file; not used
0.00s	prepare	How long the deal has been sitting (quarters) -> not in your file; not used
0.00s	prepare	How long it has been sitting (days) -> not in your file; not used
0.00s	prepare	Checking your assumptions…
0.00s	simulate	Running the simulation…
0.00s	read	Reading how your deals have moved through the pipeline...
0.00s	prepare	No usable stage history, so we built the board from your assumptions: Initial RFP -> Technical Review -> CF Approval -> Legal -> Closed Won -> Dead.
0.00s	simulate	Rolling the odds forward 6 quarters from 'Initial RFP'...
0.00s	summarize	Sales says quarter 2. The odds from your assumptions are 5.3% for closing in that quarter.
0.01s	summarize	Done. Plan on $518k of $3.00M for Q2, not the full amount.